DEMO BANK A

SANCTION LETTER - SAMPLE

Ref: DEMO/SL/2025/0042

Date: 20/05/2025

To: R. KUMAR, Proprietor, KUMAR TRADERS

12, Market Road, Pune, Maharashtra 411001

Subject: Sanction of Term Loan

Dear Sir, we are pleased to sanction the following facility, subject to the terms below.

Facility: Term Loan

Purpose: Working capital and stock purchase

Security: Collateral free

First EMI date: 05/07/2025, then the 5th of every month

This sanction is valid for 30 days from the date of this letter.

KEY FACT STATEMENT

Sanctioned loan amount	Rs. 10,00,000
Loan term	36 months
Rate of interest	12.50% per annum, fixed, reducing balance
Number of instalments	36
EMI	Rs. 33,453.63
Total interest charge	Rs. 2,04,330.68
Processing fee	Rs. 10,000.00 (1.00%)
GST on processing fee	Rs. 1,800.00 (18%)
Net amount disbursed	Rs. 9,88,200.00
Total amount to be paid	Rs. 12,16,130.68
Annual Percentage Rate (APR)	13.33%
Foreclosure charges	2.00% of principal outstanding
Penal charges on overdue	2.00% per annum on the overdue amount
Cooling-off period	3 days from disbursal
Grievance officer	grievance@demobank-a.example

SAMPLE